

GNIOT Institute of Management Studies – PGDM (Batch 2023-25)**(TRIMESTER –III) END TERM EXAMINATION, APRIL -2024****Project Finance and Financial Modeling****[Time: 3 Hours]****[Maximum Marks: 60]****Following are the course outcomes of the subject: - Project Finance and Financial Modeling**

CO	Course Outcome (CO)
CO1	
CO2	
CO3	

*(Note- Faculty can add the more CO's as per their subject.)***SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 200 words)**

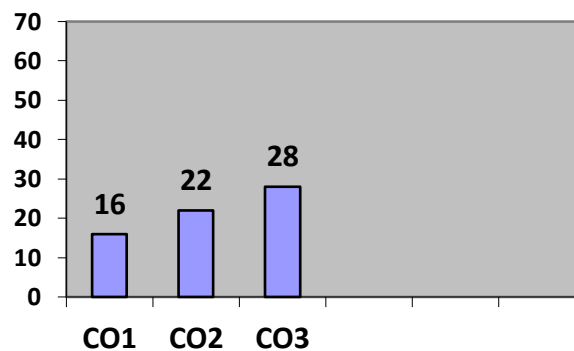
Q.1	Marks	CO
(A)	4	CO - 1
(B)	4	CO - 1
(C)	4	CO - 1
(D)	4	CO - 1
(E)	4	CO - 2

SECTION-B**Attempt all questions out of the following: (Long Answer Type Questions)**

Q. No	Marks	CO
2 (A)	6	CO – 2
2 (A)	6	CO – 2
2 (B)	6	CO – 2
2 (B)	6	CO – 2
3 (A)	6	CO – 3
3 (A)	6	CO – 3
3 (B)	6	CO – 3
3 (B)	6	CO – 2

SECTION-C**Attempt all parts of the following: (Caselet / Numerical)**

Q.4	Marks	CO
4 (A)	8	CO – 3
4 (B)	8	CO - 3

Course Outcome Wise Marks Distribution

--	--	--	--	--	--	--	--	--	--

GNIOT Institute of Management Studies – PGDM (Batch 2023-25)**(TRIMESTER – III) END TERM EXAMINATION, APRIL - 2024****Project Finance and Financial Modeling****[Time: 3 Hours]****[Maximum Marks: 60]****INSTRUCTIONS:**

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A**(Short Answer Type Questions, do not exceed 200 words)****Q.1. Attempt all parts of the following:****(5×4=20)**

- (a) Differentiate between static and dynamic financial models.
- (b) Define debt sizing automation in financial modeling and its significance in project financing.
- (c) What is a debt reserve account, and why is it important in project financing?
- (d) Explain how scenario analysis results can inform decision-making and risk management strategies in project financing.
- (e) How do different sources of finance affect the overall risk profile of a project?

SECTION-B**(Long Answer Type Questions)****Q.2. Attempt all questions of the following****(4×6=24)**

- (a) Given a cost of capital of 12%, with net cash flows of (400,000), 960,000, and (572,000) occurring at years 0, 1, and 2 respectively, calculate the present value (PV) of the net cash flows, determine the net present value (NPV), and compute the internal rate of return (IRR) for the investment project.

OR

- (a) Evaluate the impact of varying interest rates on debt servicing capabilities and project feasibility.
- (b) ABC Corporation is considering financing a commercial property with a loan term of 5 years. The property is expected to generate net operating income (NOI) over the 5-year period. ABC Corporation has obtained the following projections: Future Net Operating Income (NOI) for Year 1: \$200,000, Year 2: \$220,000, Year 3: \$240,000, Year 4: \$260,000, Year 5: \$280,000. The Loan Payments are Constant annual loan payment for \$200,000 per year and Discount Rate is 8%. Calculate LLCR?

OR

- (b) How do intermediate statements, such as cash flow statements and balance sheets, aid in assessing the viability of a project?

Q.3. (a) Calculate the Beta (Slope), Alpha (intercept) and regression line from the following dataset.

Date	GOOGLE Close	NASDAQ Close
01-12-2016	747.919983	5251.109863
02-12-2016	750.5	5255.649902
05-12-2016	762.52002	5308.890137
06-12-2016	759.109985	5333
07-12-2016	771.190002	5393.759766
08-12-2016	776.419983	5417.359863
09-12-2016	789.289978	5444.5
12-12-2016	789.27002	5412.540039
13-12-2016	796.099976	5463.830078
14-12-2016	797.070007	5436.669922
15-12-2016	797.849976	5456.850098
16-12-2016	790.799988	5437.160156
19-12-2016	794.200012	5457.439941
20-12-2016	796.419983	5483.939941
21-12-2016	794.559998	5471.430176

OR

(a) Provide examples of industries or sectors where project finance is commonly utilized.

(b) Company X and Company Y reported the following financial information for the year:

COMPANY X		COMPANY Y	
Particulars	Amount in Rs.	Particulars	Amount in Rs.
Net Income	5,00,000	Net Income	8,00,000
Depreciation Expense	1,00,000	Depreciation Expense	1,50,000
Interest Expense	50,000	Capital Expenditures	3,00,000
Taxes	1,00,000	Change in Working Capital	1,00,000
Capital Expenditures	2,00,000	Long-term Debt Issued	2,00,000
Change in Working Capital	50,000	Long-term Debt Repaid	50,000
		Dividends Paid	1,00,000

Calculate the FCFF for the Company X and FCFE for the Company Y.

OR

(b) Explain the "Equity First - Debt Withdrawn" method in financial modeling and its application in project financing.

SECTION-C

Q.4. Attempt all parts of the following:

(2×8=16)

In a manufacturing project aimed at producing innovative electronic devices, the project team embarked on a multi-stage journey with distinct milestones and resource allocations. Beginning with the Planning Stage, meticulous assessments of requirements were made, with a budget of ₹1,00,000 allocated during Week 1, expanding into Week 2 to finalize plans. Subsequently, the Acquisition Stage ensued during Weeks 3 to 5, demanding a significant investment of ₹30,00,000 to procure essential components and materials crucial for the project's progression. As Week 4 arrived, the Assembling Stage commenced, marked by a budget of ₹19,00,000 allocated towards the assembly process, extending into Week 6 to ensure meticulous assembly of acquired resources. Transitioning into the Manufacturing Stage in Week 5, an expenditure of ₹18,00,000 was allocated, reaching its conclusion by Week 8 as the final touches were applied to the devices. Finally, the Delivery Stage in Week 9 saw a budget of ₹2,00,000 allocated to facilitate the efficient distribution of the completed electronic devices to customers.

4(a)- 1. Calculate the total duration of the project

2. Calculate the percentage duration for each stage

3. Calculate the cumulative percentage duration

4(b) draw the S-curve to determine the cost vs. time approach for the completion of the project.